MACROECONOMICS

MACRO-33

Time: 5 minutes

Outcome: Explain the slope and shifters of aggregate demand.

Difficulty: Intermediate

Aggregate Demand

THE CORE IDEA

Aggregate demand shows the total quantity of domestically produced goods and services demanded at each price level. It slopes downward because a lower price level increases the purchasing power of money balances, tends to reduce interest rates, and makes domestic goods relatively cheaper abroad. Consumption, investment, government purchases, or net exports can change for reasons other than the price level; those changes shift the entire aggregate-demand curve.

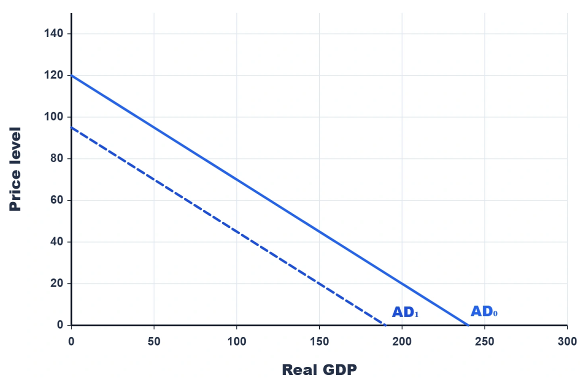
HOW TO RECOGNIZE IT

- At each price level, AD1 shows more real GDP demanded.
- AD2 lies to the right of AD1, so the graph shows an increase in aggregate demand.
- A lower domestic price level makes domestic goods relatively cheaper to foreign buyers.
- A rise in the price level reduces consumption because money holdings buy less.

WATCH OUT

Do not confuse the three reasons aggregate demand slopes downward. A lower domestic price level can lower interest rates and the currency value, raising net exports.

WORKED EXAMPLE: MOVEMENT ALONG AGGREGATE DEMAND



A fall in planned consumption shifts aggregate demand left from AD0 to AD1. At a price level of 60, real GDP falls from about 120 to 80, a 40-unit decrease. Because spending changes at every price level, the economy shifts to a new AD curve rather than moving along AD0.

CHECK YOURSELF

What change from AD0 to AD1 is shown?

READY? Return to the game and master this concept.